

29 Jan 2026 16:38:14 ET | 10 pages

Sandisk Corp (SNDK.O)

Dec Quarter Results – Quick Take

CITI'S TAKE

Sandisk reported Dec quarter results of \$3.03B (+31% qq, +62% yy) and EPS of \$6.20. This compares with the guidance range for revenues of \$2.55 – \$2.65B, EPS range of \$3.00 – \$3.40, and vs Street (FactSet) expectations of \$2.69bn and \$3.62, respectively. Gross margins came in at 51.1% vs. guidance range of 41% – 43% and Street at 42.3%, operating margins 37.45% vs. Street at 25.1%. F3Q26 (ending Mar) sales outlook of \$4.40B – \$4.80B vs. Street at \$2.9B, gross margin range of 65.0% – 67.0% vs. Street at 49.3%, EPS of \$12.00 – \$14.00 vs. Street at \$5.11.

Buy

Short-Term View: Upside, expires 05-FEB-26

Price (29 Jan 26 13:04)	US\$540.11
Target price	US\$490.00
Expected share price return	-9.3%
Expected dividend yield	0.0%
Expected total return	-9.3%
Market Cap	US\$79,155M

Asiya Merchant, CFA^{AC}

+1-415-951-1752

asiya.merchant@citi.com

Michael Cadiz

+1-415-951-1671

michael.cadiz@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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Sandisk Corp

Valuation

Sandisk's peer set trades at (FactSet) median 2.9x EV/sales, 4.6x P/BV, and 8.7x P/E vs Sandisk at 4.4x, 5.3x, and 17.9x, respectively. Our target price for SNDK is \$490, where we value shares at 13x FY27 EPS, above that of its closest competitor, Kioxia at 10.1x, as well as the larger peer group at 8.7x P/E. We note most peers have DRAM exposure while SNDK does not. However, Kioxia similarly does not have DRAM exposure and trades at 10.1x P/E. That said, we note Sandisk additionally has an estimated \$15-20B in invested capital (replacement cost) within the JV that is not reflected in the company's financials, where the Sandisk P/BV of 5.3x falls below its peer group median of 4.6x and that of Kioxia at 7.1x, leaving room for upside.

Risks

Downside risks that could impede SNDK share price from reaching our target price include: 1) Sandisk's efforts to increase its share in the Enterprise taking longer than expected; 2) macro environment deteriorating and impacting datacenter spend, PC refresh, or AI-PC uptake; and 3) supply-demand imbalances or pricing competition causing volatile pricing fluctuations and significantly impacting margins.

When considering Citi's Quantative Risk Rating criteria, we do not rate SNDK shares as High Risk given Sandisk was already previously a publicly traded company and was simply spun out of Western Digital rather than as a new IPO. And though it operates in a cyclical industry, Sandisk continues to be a successful, going concern with a reputable brand, IP assets, and an established JV.

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Appendix A-1

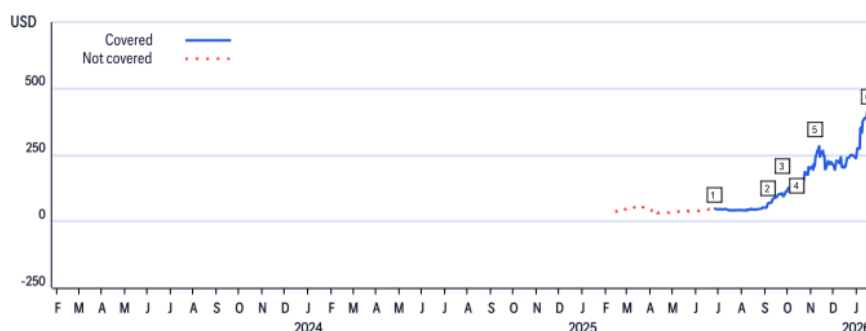
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Analyst: Asiya Merchant, CFA



Date	Rating	Target Price	Closing Price
26-Jun-25 04:00:00	*1	*57.00	47.44
07-Sep-25 21:24:48	1	*80.00	68.55

*Indicates Change

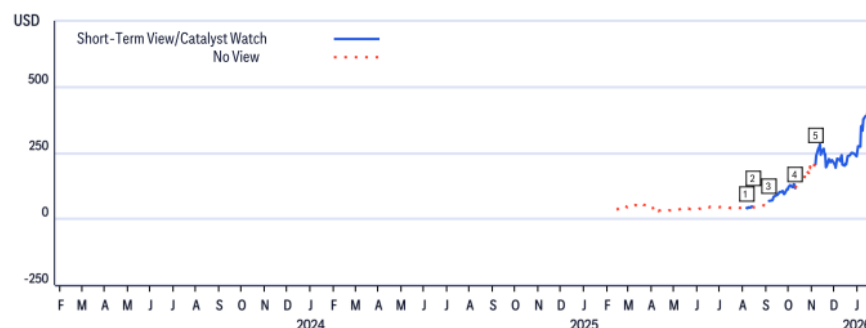
Date	Rating	Target Price	Closing Price
24-Sep-25 04:00:00	1	*125.00	99.83
13-Oct-25 00:10:56	1	*150.00	134.61

Date	Rating	Target Price	Closing Price
07-Nov-25 00:50:25	1	*280.00	239.48
19-Jan-26 19:00:00	1	*490.00	413.62

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK) Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



Date	Action	Expected Direction	Duration	Closing Price
06-Aug-25 13:53:54	Add STV	Upside	90 Days	42.10
14-Aug-25 22:45:08	Remove STV	Upside	90 Days	46.68

CW - Catalyst Watch, STV - Short-Term View

Date	Action	Expected Direction	Duration	Closing Price
07-Sep-25 17:24:48	Add STV	Upside	90 Days	68.55
12-Oct-25 20:10:56	Remove STV	Upside	90 Days	116.91

Date	Action	Expected Direction	Duration	Closing Price
06-Nov-25 19:50:25	Add STV	Upside	90 Days	207.69

Rating/target price changes above reflect Eastern Time

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Michael Cadiz

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